

CARRIAGE SERVICES INC CSV

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by

thrive25

			2026	2027
Price:	34.00	EPS	3.3	3.50
Shares Out. (in M):	16	P/E	0	0
Market Cap (in \$M):	540	P/FCF	0	0
Net Debt (in \$M):	528	EBIT	0	0
TEV (in \$M):	1,070	TEV/EBIT	0	0

Description

Summary

Carriage Services has been written up on VIC three times (2018, 2023, 2024) and all three are worth reading for background on the company and the industry. We are refreshing the idea because the situation has changed.

The founder is fully out. A new management team has taken leverage from 5.7x to 4.0x, rebuilt EBITDA margins above 31%, and put up the best P&L year in the company's history in 2025. Every public deathcare comp except SCI has been taken private over the last three years. And the stock is back at ~\$34 — about 10x this year's earnings and an 8% FCF yield — after a soft first half that we believe is post-COVID payback, not anything structural. EPS guidance was reaffirmed even as revenue guidance came down.

We think you earn high single digits just holding this at the current multiple (6-7% EPS growth plus the dividend), and low-to-mid teens if the multiple gets anywhere back toward its own five-year average of ~12x forward earnings (it sits at ~9x 2027). On top of that you own two options you are not paying for at 10x earnings. The first is demographic. The oldest boomers are now 80-81 against an average age at death of about 79.5. The wave is expected to begin around 2030, and management sizes it as roughly a COVID-sized increase in deaths — call it 20% — except sustained for about twenty years instead of two.

That matters because COVID already gave everyone a look at this P&L running at those volumes: CSV's EBITDA margin hit 33.6% in 2021.

The second call option is scarcity. Park Lawn, backed by Brookfield at the time, bid \$34 in cash for this exact company in 2023 on a smaller EBITDA base than today before getting taken private itself in 2024. StoneMor, Dignity and InvoCare are gone too. CSV and SCI are the last two public pure plays.

Why the stock is at \$34

Two reasons. At-need funeral volumes came in below plan in the first half (Q2 volume -3.5%), and the company trimmed 2026 revenue guidance to \$435–445M. A small cap with 4x leverage will sell off on any guide-down.

The volume story I think is misunderstood. US deaths did not actually fall in 2025. The absolute count actually rose slightly (3.09M vs 3.07M). What fell was the age-adjusted death rate, down 4.6% to a record low as COVID and overdose deaths receded. CSV's volume dip is the pandemic pull-forward reversing plus some divestitures (they sold seven funeral homes and a cemetery in 2025). The company's own franchises are intact and pricing per contract is up 4-5%.

We think this is the kind of quarter you want to be buying.

Business overview and unit economics

CSV operates 155 funeral homes (24 states) and 28 cemeteries (9 states). Funeral is roughly 65% of revenue, cemetery 35%.

A funeral home is a simple business. Families pay for a service and merchandise when someone dies. The costs — building, licensed staff, vehicles, prep room — are mostly fixed and sized for capacity that sits partly idle, so utilization drives everything.

Estimates for the average CSV location:

Calls per year: ~250–270

Average revenue per call: ~\$6,500–6,700

Revenue per home: ~\$1.7–1.8M

Field EBITDA margin: ~40–45%

Field EBITDA per home: ~\$650–700K

Incremental margin on added volume: ~60–70% (our estimate)

Typical independent, same business: 100–200 calls, 20–30% EBITDA margin

The 10-15 point margin gap between an independent and a CSV home is where acquisition returns come from. More on that below.

Cemeteries are a different business — closer to land development than to services. CSV sells interment rights (the plot, crypt or niche itself), merchandise (markers, vaults) and services (opening/closing). About 71% of cemetery revenue is preneed, sold by a commissioned sales force and recognized at or near the sale, not at death. It is lumpy. A few large family-estate or mausoleum sales can swing a quarter. Land is carried at historical cost, often decades old, and never written up. All of the appreciation shows up as gross margin at the moment a plot is sold. The 28 cemeteries sit on the books at about \$115M net, which we believe is far below what the real estate is worth. It also means reported returns on cemetery capital flatter the economics, since the denominator is decades-old cost. Management does not build cemeteries from scratch. SCI does; CSV told us the returns take too long for their capital base. What they want is an existing park that is under-developed (wrong inventory, no real sales effort) where they can install their preneed sales team and a development plan.

Where land gets scarce they build up rather than out: niche walls and mausoleum phases use a fraction of the ground of burial sections. Niches are also how

the cemetery keeps cremation families — roughly 30% of cremation families still inter the remains somewhere.

The third piece of the P&L is what the company calls financial revenue — about \$35M, 8% of revenue, growing mid-teens. In plain terms it is three things. One, commissions: when CSV sells an insurance-funded preneed contract, a third-party insurer (National Guardian Life, through the Precoa partnership) takes the customer's money and the investment risk, and CSV collects a commission upfront for originating the policy. This is the biggest and fastest-growing piece. Two, management fees: CSV's in-house investment advisor manages about 80% of the roughly \$325M sitting in the trusts and charges a fee on those assets. Three, trust earnings: on trust-funded contracts, the customer's prepayment sits in a state-regulated trust until the funeral happens, and whatever the trust earned or lost over those years is recognized at delivery, contract by contract. The one exception is the perpetual care trust for cemetery operations (reserve is carved out at sale), whose income flows through currently and pays for cemetery upkeep.

The trust piece on the pre-need is where there is some market risk. CSV guarantees the preneed price. If the trust compounds slower than the cost of delivering the service, CSV covers the difference, and some states require topping up shortfalls in cash. If it compounds faster, CSV keeps the excess. Trust returns were about 6% in 2025, on ~\$325M of assets, against \$135M of company EBITDA. So there is some volatility in a year's P&L, but important to note that it is a shrinking component in relative terms as new preneed skews toward the insurance-funded route. One more number for context: the preneed funeral backlog was 93,286 contracts at year-end 2025 against 41,579 services performed during the year — a little over two years of future calls already sold and funded. It is a big part of why management and lenders are comfortable running this business at 4x or higher in net debt.

The M&A engine

The 2018 writeup had deals getting done at 6-8x. Pricing has moved up. Management told us single-rooftop tuck-ins now go for 6-8x whereas combos, which are a cemetery with a funeral home on it, the asset they most want, sell for 9-11x. CSV itself trades around 8x. So there is no multiple arbitrage left on tuck-ins, and on combos they are paying above their own multiple. The returns have to come from what happens after executing on a deal.

The playbook is your general blocking and tackling. Buy caskets and urns on national contracts an independent cannot get. Staff the location to its actual call volume. Strip out duplicated overhead — a tuck-in does not need its own accountant, lawyer or HR. Price with knowledge of the local competitive landscape, where a fourth-generation family owner has often been timid for decades.

On cemeteries, install a preneed sales force and a development plan the seller never had.

Management says this lifts margins 10-15 points and takes a 9-11x combo multiple down to an effective 6-8x fairly quickly.

The best case study is Fairfax Memorial, bought at the end of 2019 for about \$100M — roughly 12x on \$8.5M of EBITDA and \$19M of revenue. It looked like an overpay. The selling family had served one religious community exclusively. CSV opened the park to all religious denominations, developed inventory to match the neighborhoods actually surrounding it, and put its sales team on it. Today the property produces more EBITDA than it used to produce revenue. Call it 5x on today's numbers. It is not a representative deal but it shows the kind of accretion that exists in this market when the playbook lands on the right asset.

Last year's Kissimmee, FL acquisition is the same play with a cremation angle: they brought the retorts (cremation machines) in-house, centralized the logistics, and are working on converting direct cremations into cremations with services.

Two caveats.

First, EPS accretion is easy money at a ~5% after-tax cost of debt — almost any deal at these yields adds EPS. But actual value creation needs the post-improvement returns (low-to-mid teens after tax when the playbook works) to beat an 8-9% cost of capital, and that only happens if entry discipline holds and the operation uplift can be executed on.

Second, this industry punishes sloppy consolidators. The 1990s roll-up mania ended with SCI down 80% and Loewen in Chapter 11; CSV's stock has traded near \$1 twice in its history. More recently, the prior management team borrowed on the revolver to buy back about 3 million shares at COVID-inflated prices, which is a big part of how leverage reached 5.5-5.8x. Current management brought this up unprompted on our call and called it a decision they would not have made. They paused M&A for two years, repaired the balance sheet, and only restarted deals once leverage hit 4x. So we believe the 2026 guide of \$5-10M in acquired revenue is this engine just warming up.

Cremation

This is the bear case, so here are the numbers. The US cremation mix is ~63% and rising; industry forecasts have it at ~69% by 2030 and as high as ~82% by 2045.

CSV's own mix is ~61%. The more interesting datapoint from our management conversation: the annual mix shift has slowed from the historical ~100bps to 60-80bps recently. They model 50-100bps going forward and are openly skeptical it ever reaches 80%.

On the economics: cremation margins are similar to burial in percentage terms, but the ticket is lower. You need roughly 1.5 to 2 cremations to replace the dollars of one burial. About 60% of CSV's cremations today are direct cremation (~\$2,000: collect the body, cremate, return the ashes).

That is the threat. But we believe it is the biggest source of opportunity for a good management team that has a track record in consumer. They need to fill the gap between a \$2,000 direct cremation and a \$6,000-7,000 cremation with a service, an urn and a niche is a sales and education problem, and CSV is set up to work it.

They have stated clearly they will not chase the \$1,500 national online discounters on price but they will serve that family and present the options. Most families, in their telling, simply did not know there were options.

Internally we have spent a lot of time on whether the cremation shift is approaching its ceiling. It is impossible to forecast precisely. Our view, for what it is worth: the mix is in the later stages of finding a more balanced level. The annual shift has already decelerated by a third to a half, the 80%+ forecasts extrapolate a rate of change that is visibly slowing, and the people who watch this market by market do not believe the 80% number either.

We could be wrong, and importantly the investment does not require us to be right as the base case assumes the shift keeps running at 50-100bps a year indefinitely.

But with this backdrop, the market is ignoring the tailwind that will more than makeup for whatever cremation challenges persist.

Against this "per-unit" drag in the business sits the volume story. The oldest boomers are 80-81. The average age at death in the US is about 79.5. Nobody knows the exact year the wave starts but the general expectation is around 2030, with annual deaths stepping up on the order of 20% and staying elevated for roughly two decades as the boomer cohort passes through.

During a call with CSVs CFO he framed it as approximately the COVID increase in deaths, made semi-permanent for twenty years. And because we already got to watch the P&L run at those volumes one can see the explosive embedded operating leverage that will surface.

In 2021, CSV's EBITDA margin reached 33.6% and SCI's about 35%. Management concedes some of that was flattered by restricted gatherings and skeleton staffing, and says the company is better run today than it was then. Either way the operating leverage was unmistakable — mostly fixed costs, 60-70% incremental margins, demand exploding while supply was actually constrained in many cases.

We do not need the wave to arrive on schedule at this multiple. If it does, 2021 is the rough template for what the income statement will look like.

Management and ownership

Mel Payne co-founded the company in 1991 and ran it for 32 years. He built a genuinely good collection of assets and a strong field culture, with a capital allocation record that had real lows (the late-90s vintage, the 2019-20 leverage peak). Succession is complete: Carlos Quezada — ex-SCI operations and preneed, hospitality background became CEO in June 2023; Payne left the board entirely in 2024; John Enwright (ex-Tiffany) came in as CFO in January 2025. The record since is short but concrete: leverage 5.7x to 4.0x, margins back above 31%, record P&L year in 2025, procurement and pricing centralized, a new CRM live (adoption above 80%), and an ERP replacement (Trinity) rolling out through 2026-27 with first P&L contribution expected in late 2027.

This is now a professionally managed company rather than an owner-operated one for better or worse. We think it will prove to be a big source of future value creation.

Valuation

At ~\$34 the stock trades at ~10x 2026 guided EPS, ~8x EV/EBITDA, and an ~8% FCF yield on guided \$40-50M. Its own five-year averages are ~12.3x forward earnings and ~9.5x EV/EBITDA. It trades at roughly a 50% P/E discount to SCI versus a ~35% historical average discount.

Our base case needs no re-rating: ~3% organic growth (pricing over a fixed cost base), ~2% from tuck-in M&A at the guided pace, ~1% from preneed and financial revenue, and ~1% from falling interest expense gets EPS compounding at 6-7%, call it \$4.00 within two years and \$4.50-5.00 by 2030-31. Add the 1.3% dividend and you earn high single digits at a flat 10x. At 12-13x — the company's own history, still a wide discount to SCI — those numbers are worth \$48-65 over two to five years, low-to-mid-teens IRRs. Downside we anchor around \$28-30, which is 9x on a stressed \$3.10-3.30.

The free options: the 2030 demographic inflection, and scarcity. Park Lawn, StoneMor, Dignity and InvoCare have all been taken private since 2023. CSV received a \$34 all-cash bid in 2023 on less EBITDA than it produces today. We are not underwriting a takeout. We just note that the last two public pure plays are CSV and SCI, private capital is positioning ahead of 2030, and 8x EBITDA is not a multiple that goes unnoticed.

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Catalyst

Death and taxes

Messages

Subject	Some Comments
Entry	09/08/2026 10:38 PM
Member	david101

The company was actually written up 4 times before on VIC. ;)

The CDC has an interesting mortality dashboard (because people just love dashboards):

<https://www.cdc.gov/nchs/nvss/vsrr/mortality-dashboard.htm#>

As many may be aware, death is seasonal.

The preneed life insurance is largely driven by people entering assisted living care facilities that require funeral expenses to be prepaid. There is likely trend information out there for assisted living populations in the US.

David